

Practice Quiz: Digital Transformation — Module 01: Systems

Name: ____ Date: ____

Part A: Multiple Choice

1. A **sociotechnical system** is: A) A type of software B) An integrated system of human agents, technology, and processes that jointly produce organizational outcomes C) A social network D) A tech company
 2. The difference between **digitalization** and **digital transformation** is: A) None B) Digitalization changes processes; digital transformation changes the business model itself C) Digital transformation is older D) Digitalization is more expensive
 3. Amazon's organizational boundary is largely: A) Physical walls B) Technological — APIs, algorithms, and data systems constitute the firm's Markov blanket C) Legal contracts D) Human relationships
 4. **Technical debt** in Active Inference terms is: A) Money owed to tech vendors B) Accumulated model error — the gap between what the system assumes and what it needs to do C) Outdated hardware D) Budget shortfall
 5. The human-technology interface design should prioritize: A) Maximum automation B) Complementary strengths — humans handle judgment and novelty, technology handles volume and consistency C) Minimizing technology D) Minimizing humans
 6. **Digitization** (paper → database) has: A) Maximum organizational impact B) Minimal organizational impact — same process, different medium C) No impact D) Negative impact
 7. A "born digital" company differs from a transforming company by: A) Being younger B) Having technology built into its organizational DNA from the start, rather than retrofitting onto legacy systems C) Being smaller D) Using more technology
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Part B: Short Analysis

1. Your organization runs on a 20-year-old legacy ERP system. Leadership wants to replace it with a cloud-native platform. Using sociotechnical systems concepts, analyze the challenges beyond the technology migration.
2. Design a sociotechnical system for a new customer service function, specifying: human roles, technology components, their integration points, and how they jointly produce customer outcomes.
3. Assess whether your organization is at the digitization, digitalization, or digital transformation level. What would it take to move to the next level?